

Research briefing | France

A murky way forward for French politics

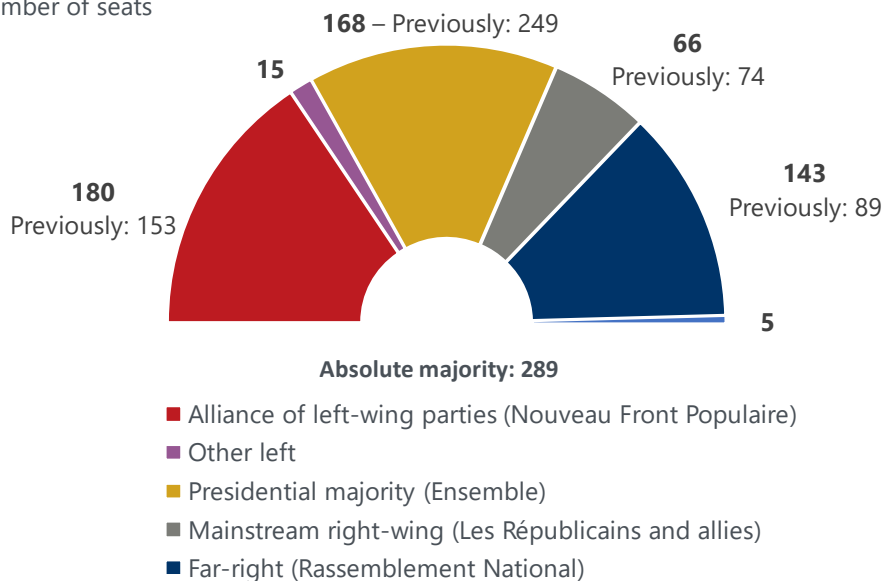
- The second round of the French snap elections resulted in a hung parliament, as we expected. Even though the Nouveau Front Populaire (NFP), an alliance of left-wing parties recorded a surprisingly strong performance and finished in first place, we think France is still set for policy paralysis, as an Assembly split in 3 large blocs will be unable to underpin a stable government.
- The way ahead is currently very blurry, with outcomes ranging from a minority left-wing government to a grand coalition of moderate parties, or even a technocratic government. No matter what the eventual compromise is, political instability will remain a feature of French politics for the foreseeable future.
- The NFP won a relative majority on the back of a radical-left platform, but its programme has virtually no chance of being implemented given the lack of majority. This was evident in the muted reaction of financial markets to the results of the second round.
- A divided Assembly will find it hard to agree on politically difficult spending cuts, resulting in a durably deteriorated fiscal outlook, which will keep spreads at a higher level than before and test the EU's new fiscal rules. The impact of political developments on growth will be more limited, as lower confidence and higher rates will be offset by a more expansionary fiscal policy.

The second round of the French legislative snap elections held on July 7 resulted in a hung parliament, as we expected. The Nouveau Front Populaire (NFP), a hastily assembled alliance of the left-wing parties, registered a surprisingly strong performance, securing first place with 180 seats, though it still came far short of the overall majority of 289 seats. Macron's centrist coalition Ensemble (ENS) suffered heavy losses and is now the second largest group in the Assembly, though its performance was also better than expected. Finally, the far-right Rassemblement National (RN) came only third despite its strong showing in the first round. Tactical withdrawals between the two rounds from ENS and the NFP weakened the RN's position, while voters, faced with the prospect of a far-right majority, mobilized to prevent it from happening.

Chart 1: The new National Assembly is split into 3 large blocs of comparable size

Composition of the new National Assembly

Number of seats



Source: Oxford Economics

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Forming a government will prove difficult

The path ahead is now very blurry, given that the Assembly is split into 3 large blocs of comparable size with little in common. This is an unprecedented situation in the history of France's Fifth Republic, which has little culture of parliamentary compromise. We see three main possible outcomes, which all lead to broad policy paralysis and will do little to alleviate political uncertainty in the short-term.

A prime minister from the NFP could head a minority left-wing government. In this case, the appointed government would see his action severely constrained by the lack of a majority and would be at the mercy of motions of no-confidence from the Assembly. Alternatively, Macron's group could try to form a grand coalition going from the moderate wing of the NFP to the mainstream right. In practice, such a coalition will be extremely hard to form and sustain, given how little these parties have in common. Still, moderate MPs from the centre-left and centre-right may sustain a centrist government with a limited mandate for the sake of stability and abstain from supporting motions of no-confidence – an implicit coalition of sorts. Finally, if all else fails, Macron could appoint a technocratic caretaker prime minister, as happened in Italy between 2011 and 2013.

None of these scenarios are politically sustainable beyond the short-term. Hence, political instability is likely to remain a feature of French politics in the foreseeable future. New elections could need to take place again soon to break the impasse, though the Assembly that was just elected has to remain in place for a minimum of one year.

In the short term, the election of the president of the National Assembly by the MPs on 18 July will provide a first glimpse of the new political equilibrium. Meanwhile, the current prime minister, Gabriel Attal, will likely remain in place until a compromise is found by the parties, with no clear deadline set by the Constitution for Macron to choose a new prime minister. The vote of the 2025 budget in the autumn will then be a critical test for the new Assembly. It is unclear what would happen if a fragmented Parliament refuses to pass the budget, since the Constitution does not explicitly address this situation. However, the fact that moderate parties still hold an overall majority makes this kind of brinkmanship less likely.

No policy upheaval in sight, but no fiscal consolidation either

The NFP, the largest group of the new Assembly, was elected on a radical left-wing platform. The NFP's programme features a 15% increase in the minimum wage, major tax increases (on wealth, financial income, "excess profits", high earners) and much higher public spending (€150bn additional annual spending by 2027). In practice, given the absence of majority, such a radical platform is unlikely to ever be implemented. Besides, the NFP is itself divided between the far-left wing of the alliance (La France Insoumise) and the more mainstream left-wing parties (Socialist Party, Greens), which have historically favoured more moderate policies. It is not certain the alliance will be sustained for long now that the elections have passed.

Therefore, policy-wise, the hung Parliament is most likely to result in a status quo, with no large-scale reform expected before new legislative or presidential elections take place.

As we described [in a previous note](#), the fiscal consolidation started by the current government is now unlikely to continue, despite France's deteriorated fiscal metrics, with public deficit reaching 5.5% of GDP in 2023 and public debt standing at 111% of GDP. A divided Parliament will find it hard to agree on politically difficult spending cuts, more so given the fact that public finance sustainability issues took a back seat during the campaign. Moderate tax increases, for example on wealth and financial income, may still happen, especially if Macron's group must find a compromise with the mainstream left-wing to sustain a government and pass the 2025 budget. Still, we now think government deficit will remain above 4% of GDP over the next few years as we don't expect substantial spending cuts to take place. This will put France on a collision path with the EU's [new fiscal rules](#), as the European Commission already placed France under the Excessive Procedure in June.

As a result of the deteriorated fiscal outlook and political uncertainty, spreads between the French and German 10-year government bonds have widened by around 20bps since the snap elections was called, increasing from 50bps to 65-70bps. The financial markets' reaction was relatively muted after the results of the second round, reflecting the fact that a hung parliament was already seen as the most likely outcome.

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We expect the spread to [remain at a higher level](#) in the medium-term, given there is no end to the current political uncertainty in sight.

In terms of growth, the impact of the political crisis should remain moderate. The uncertainty will dent household and business confidence, as was already evident in [June's PMIs](#), while moderately higher rates will also be a drag on investment. On the flip side, the absence of major government spending cuts means that fiscal policy will be more supportive of growth than we anticipated before the election. Overall, our growth forecast remains unchanged in the near term, with GDP still projected to grow by 0.9% in 2024 and 1.6% in 2025.

